INTELLECTUAL PROPERTY STRATEGY · COST VARIANCE · BREAKEVEN · A/B TESTING

IP Distribution Decision Verticals

A decision framework that helps owners of intellectual property choose a distribution model that fits their business type, built on unit economics, cost variance analysis, breakeven analysis and testable hypotheses.

Start the walkthrough → Open the Tableau story View on GitHub

> Status note: certain works referenced by this analysis are in the initial stage of pre-publication copyright registration with the U.S. Copyright Office. No title-specific details are disclosed.

Prepared by Shamar Robinson · Data as of October 11, 2026 · Refreshed quarterly; next refresh January 11, 2027

NAVIGATE

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Tableau story ↗ **GitHub repository ↗** **Data (CSV) ↗** **Excel model ↓** **PDF version ↓**

EXECUTIVE SUMMARY

Three findings drive the decision

$6.79 vs $3.33

Channel share drives the cost variance

On a $16.99 paperback, Amazon KDP returns $6.79 per unit while IngramSpark's bookstore route returns $3.33. About $2.55 of that $3.47 gap is the retailer discount, not printing or platform fees. See the variance bridge.

158 vs 272

Breakeven depends on contribution, not fees

With $1,585 to $1,710 in Year-1 fixed costs, KDP breaks even at 158 unit pairs (one print plus one ebook) and IngramSpark at 272. Platform fees alone are recovered within 20 pairs. See the breakeven analysis.

16.6 / month

A subscription only wins at scale

PublishDrive's flat $13.99 monthly fee beats IngramSpark's per-sale fees only above 16.6 units per format per month. Below that, variable-cost models are cheaper. See the crossover.

Decision ask: approve a two-channel launch (KDP plus one wide-distribution route chosen by business vertical), with a 90-day A/B test on price and channel terms before committing to exclusivity. Go to the recommendation.

SCOPE

The decision, and who it is for

Every owner of intellectual property faces the same make-or-buy distribution question: **which channels turn a protected work into the most contribution margin, at acceptable risk and cash timing?** The answer differs by business type, so this analysis is organized into five decision verticals.

A

Independent creator

One work, Amazon-led discovery, limited capital.

B

Small press or imprint

Needs bookstore and library placement for a curated list.

C

Catalog or backlist owner

Many titles and steady volume; fixed fees amortize well.

D

Brand, educator or corporate IP owner

Owns an audience; sells through events, courses or a website.

E

Wide ebook strategist

Digital-first, wants reach beyond one retailer.

Stakeholders: IP owners, finance and FP&A partners, marketing leads, rights and contracts teams, and investors evaluating content businesses.

WHY IT MATTERS BEYOND PUBLISHING

A cross-industry lens on one IP decision

Concept	How it is used here	Where else you see it
Cost variance analysis	Net royalty per unit vs a KDP baseline, split into channel, production and fee drivers	Manufacturing, SaaS, healthcare budgeting
Gross-to-net (GTN)	List price to net royalty waterfall	Pharma, CPG, music streaming
Contribution margin and breakeven	Units needed to recover launch costs	Retail, restaurants, hardware startups
Fixed vs variable cost crossover	Subscription vs per-sale fee models	Cloud pricing, payments, logistics
Sensitivity and scenario analysis	Tornado chart; bear, base and bull volumes	Corporate FP&A, infrastructure finance
A/B testing and breakeven lift	Price and channel-term experiments with sample sizes	E-commerce, product, marketing
Days sales outstanding (DSO)	45 to 105 days from sale to cash	Every B2B business, working-capital planning
Pool-based payouts	Kindle Unlimited per-page rate	Music streaming pro-rata pools, ad networks
Returns reserve and counterparty risk	Returnable wholesale terms; retailer non-payment	Retail, distribution, insurance

Full definitions are in the glossary.

MARKET CONTEXT

Mainstream benchmarks frame the opportunity

$33.4B

U.S. publisher revenue, 2025

+2.5% vs 2024

AAP StatShot Annual Report 2025 ↗

4.17M

ISBNs issued in the U.S., 2025

3.53M self-published, +38.7%

Bowker via Publishers Weekly, Mar 2026 ↗

762.4M

Print units sold, 2025

+0.3% vs 2024

Circana BookScan via Publishers Weekly ↗

415,780

Copyright registrations, FY2025

169,098 were literary works

U.S. Copyright Office, FY2025 Facts at a Glance ↗

3.4 mo

Average e-filed registration time

5.3 months with correspondence

U.S. Copyright Office processing times ↗

$65 → $85

Standard Application fee

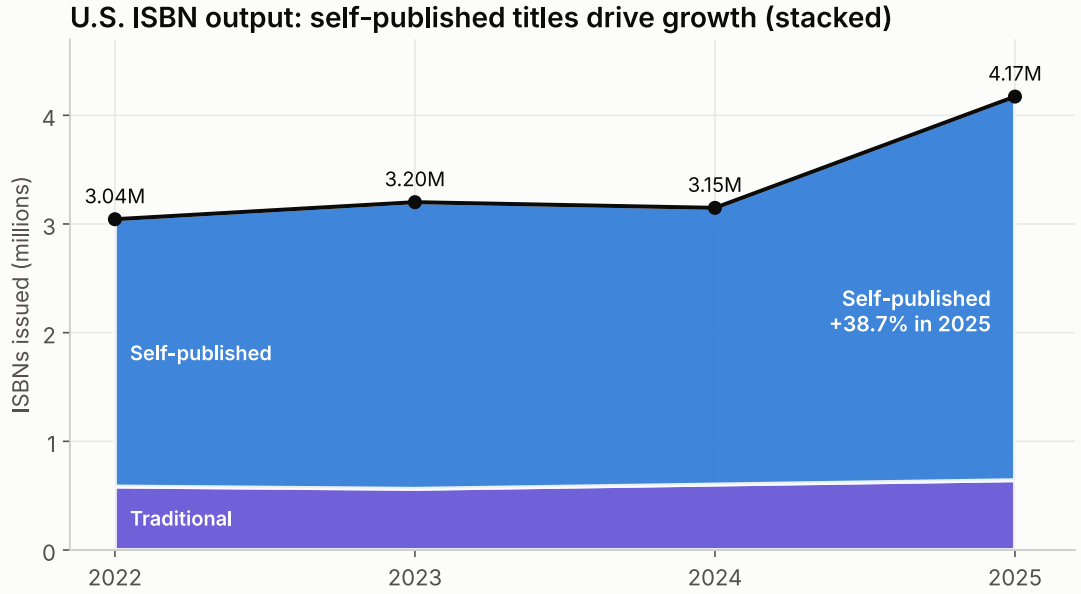
New fee schedule from mid-November 2026

Hypebot on the 2026 USCO fee schedule ↗

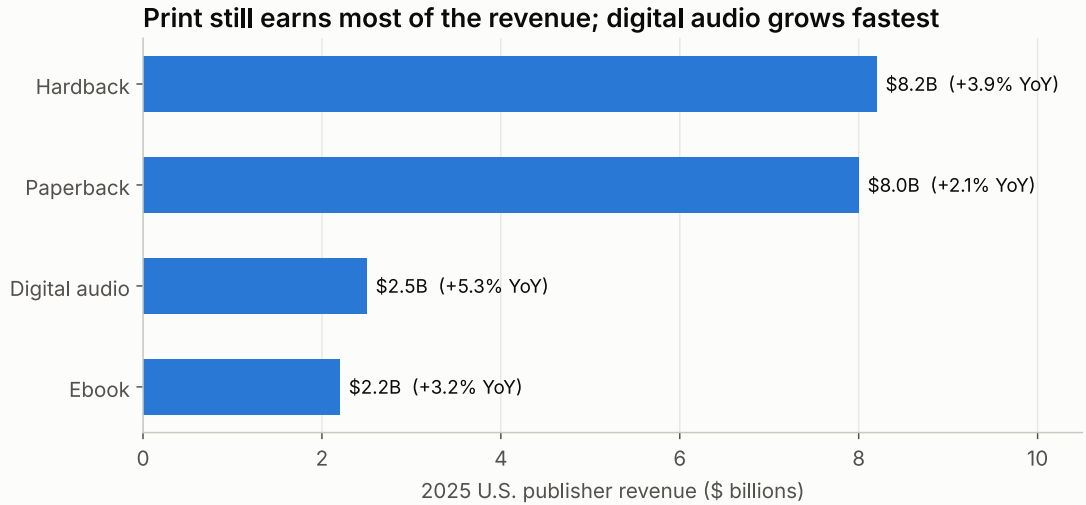
Supply of new works is growing much faster than unit demand: ISBN output rose 32.5% in 2025 while print unit sales rose 0.3%. More works compete for the same buyers, so the margin kept per sale and the cost to launch matter more every year.

MARKET CONTEXT

Self-published supply is surging while print still earns most revenue



Data as of October 11, 2026. Source: Bowker data via Publishers Weekly, March 23, 2026



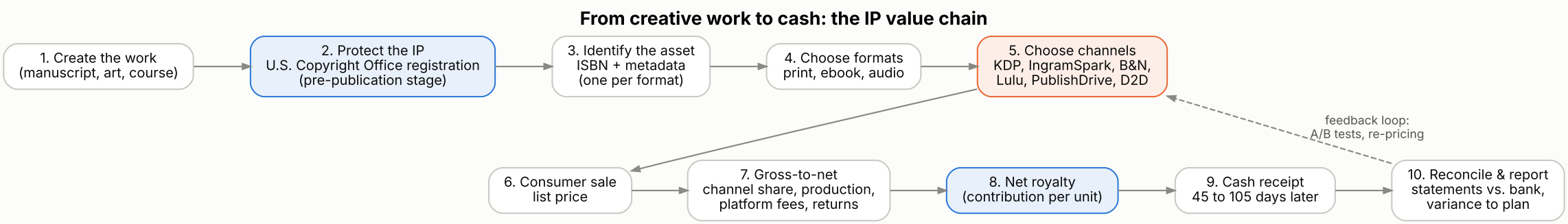
Data as of October 11, 2026. Source: Association of American Publishers, StatShot Annual Report 2025

The stacked line shows self-published ISBNs climbing to 3.53 million in 2025. Hardback and paperback still bring in $16.2 billion of the $33.4 billion market, which is why print distribution choices carry the most dollars.

Prices, fees and rates as of October 11, 2026. Sources: Bowker via Publishers Weekly, Mar 2026; AAP StatShot Annual Report 2025

PROCESS FLOW

The IP value chain: from protected work to reconciled cash



Step 2 is where rights are secured. Certain works covered here are in the initial stage of pre-publication copyright registration with the U.S. Copyright Office. Registration is a prerequisite for filing an infringement suit over a U.S. work and for statutory damages, so it is treated as a fixed launch cost ($85 Standard Application under the new schedule).

Steps 7 through 10 are where finance lives. Gross-to-net deductions, cash timing and reconciliation are the same disciplines used in film participations, music royalties and SaaS revenue operations.

Prices, fees and rates as of October 11, 2026. Sources: U.S. Copyright Office, FY2025 Facts at a Glance; Hypebot on the 2026 USCO fee schedule; U.S. Copyright Office processing times

CHOICE SET

Six options, three cost models

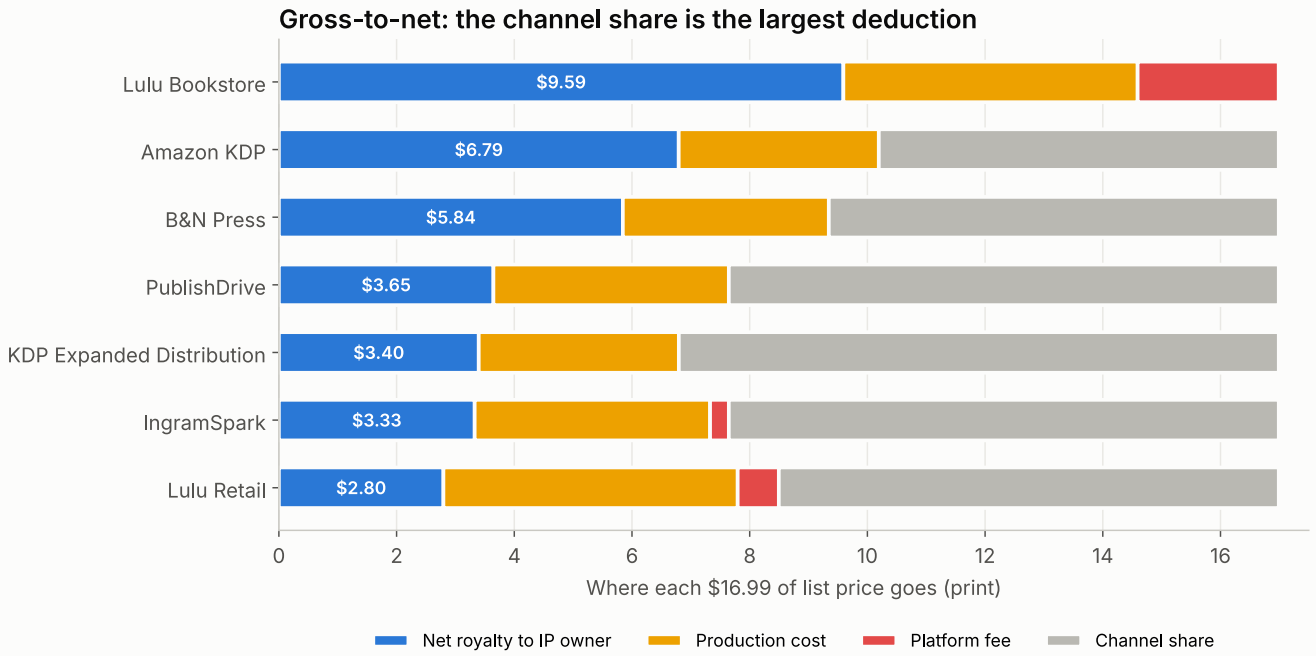
Platform	Print economics	Ebook economics	Fixed cost	Payment terms	Reach
Amazon KDP	60% of list minus print	70% ($2.99 to $9.99)	Free	~60 days after month end	Amazon only
IngramSpark	List minus 35 to 55% discount, print, 1.875% fee	85% of store payout	Free setup; own ISBN	~90 days after month end	Bookstores, libraries, 45,000+ outlets
B&N Press	55% of list minus print	70% flat	Free; print ISBN free	~30 days after month end	BN.com (U.S.)
Lulu	Retail: 50% fee, print, then 20% commission	Fee plus commission	Free; proof required	Monthly	Own store, retail, your site
PublishDrive	Ingram network, 0% commission	100% of store payout	$13.99 to $83.99/mo	Monthly	400+ stores
Draft2Digital	Print via partners	~90% of store payout	$20 account fee	Monthly, ~60-day lag	Apple, Kobo, Google, libraries

The options fall into three cost models: **retailer-direct** (KDP, B&N), **wholesale with per-sale fees** (IngramSpark, Lulu, Draft2Digital) and **subscription with zero commission** (PublishDrive).

Prices, fees and rates as of October 11, 2026. Sources: IngramSpark Help Center: 2026 pricing changes; Profitable.app KDP royalty calculator; B&N Press Help Center: Getting paid; Chapter: Lulu pricing (Sep 2026); PublishDrive Help: pricing plans; PublishDrive vs Draft2Digital (Apr 2026); ScribeCount platform comparison

UNIT ECONOMICS

Gross-to-net: where each $16.99 goes



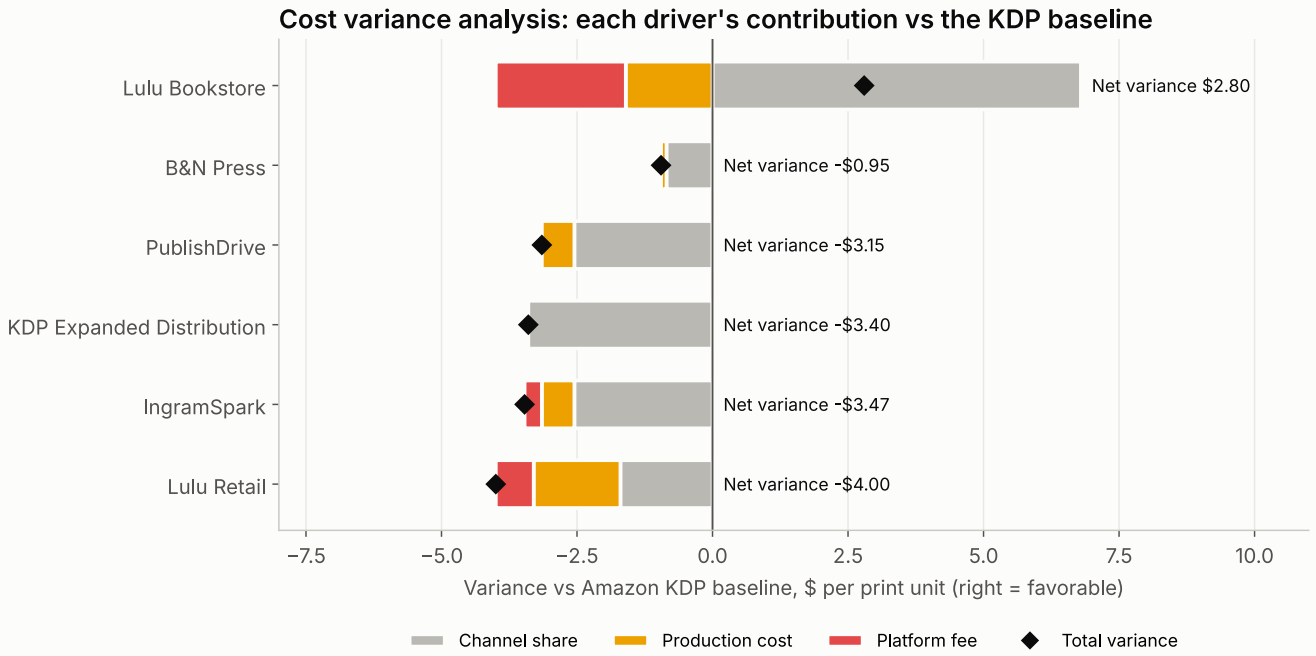
Data as of October 11, 2026. Source: Model in this repository; platform rates from IngramSpark, KDP, B&N Press, Lulu and PublishDrive (see Sources)

The gray channel share is the largest deduction on every wholesale route. Lulu's own bookstore keeps $9.59 because no retailer takes a cut, but it brings almost no shoppers on its own. Print costs for IngramSpark, B&N and Lulu are planning estimates to be replaced with each platform's calculator output.

Prices, fees and rates as of October 11, 2026. Sources: Profitable.app KDP royalty calculator; IngramSpark Help Center: 2026 pricing changes; B&N Press Help Center: Getting paid; Chapter: Lulu pricing (Sep 2026); Jane Friedman: IngramSpark 2026 pricing

COST VARIANCE ANALYSIS

The variance bridge: channel share explains most of the gap



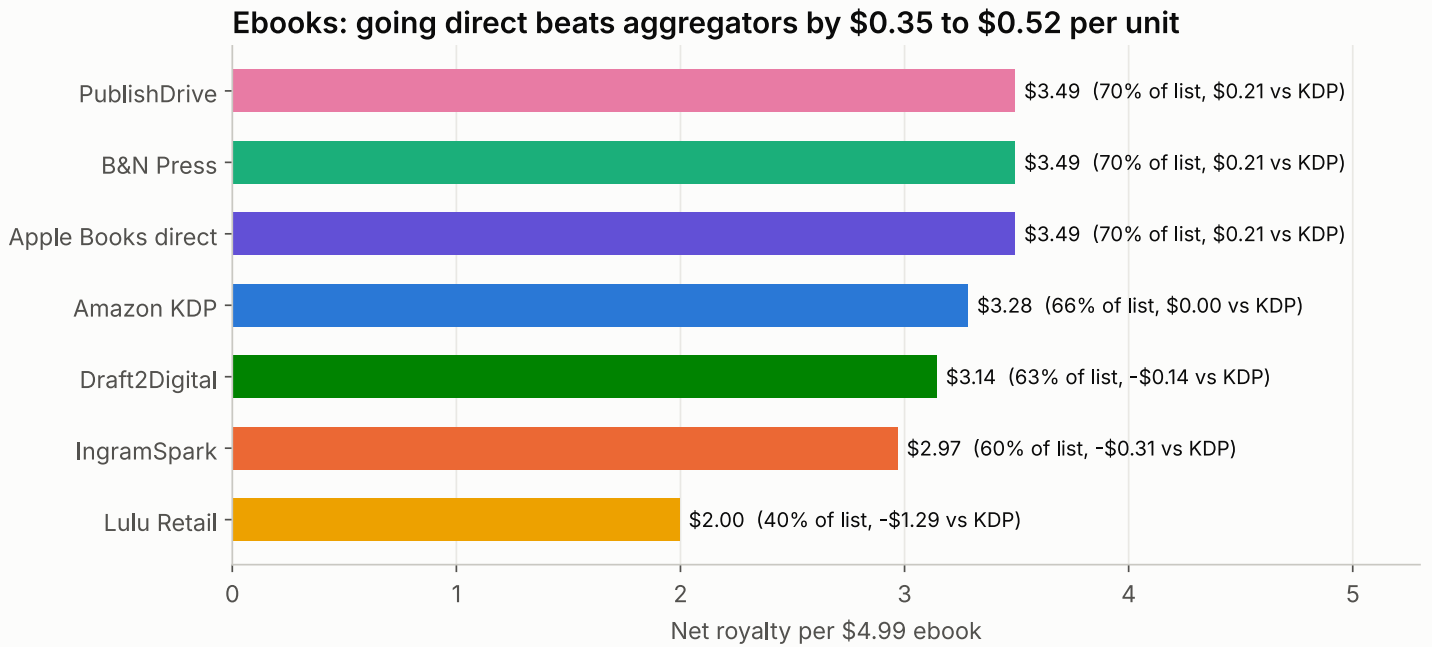
Data as of October 11, 2026. Source: Model in this repository; baseline = Amazon KDP print royalty of $6.79 per unit

Each bar decomposes one platform's variance against the KDP baseline into three drivers that sum to the total, the same price, cost and mix logic used in a budget-vs-actual review. For IngramSpark, the 55% discount costs $2.55, higher print costs $0.60 and the market access fee $0.32, for a total unfavorable variance of $3.47 per unit.

Prices, fees and rates as of October 11, 2026. Sources: IngramSpark Help Center: 2026 pricing changes; Profitable.app KDP royalty calculator

UNIT ECONOMICS

Ebooks: direct uploads beat aggregators



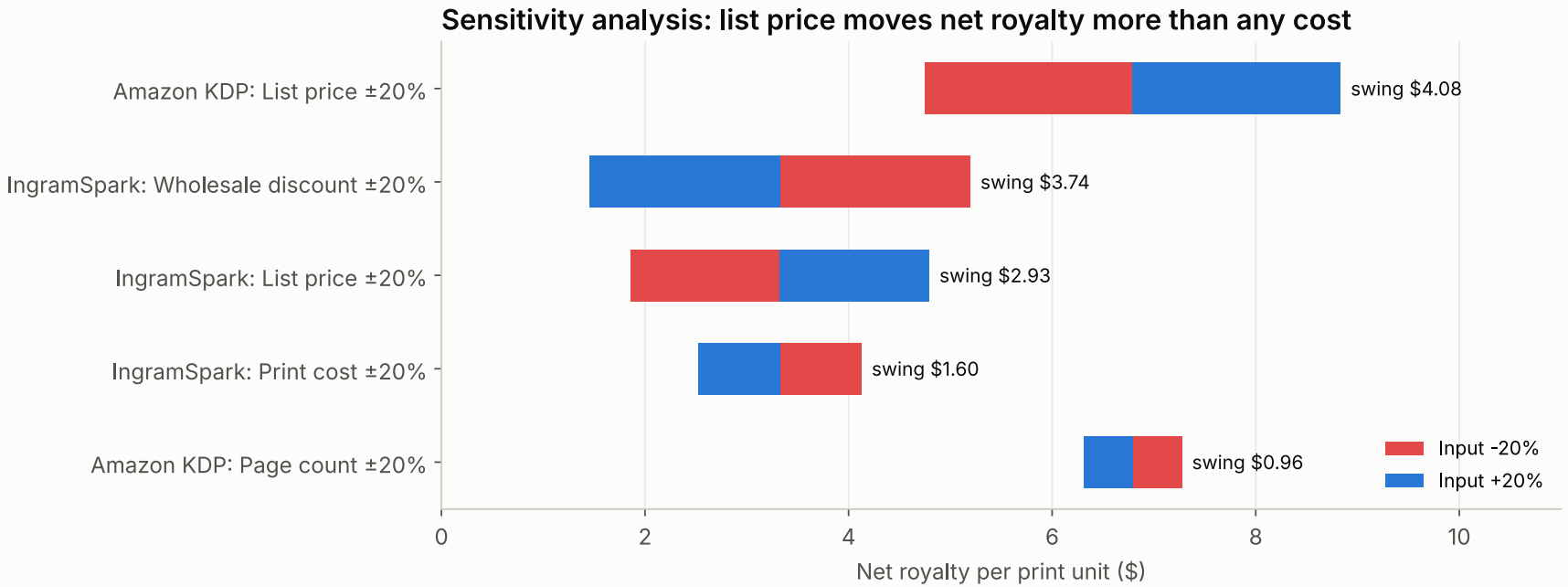
Data as of October 11, 2026. Source: Model in this repository; store payout rates from ScribeCount; fees from KDP, Draft2Digital and IngramSpark agreement Sec. 8.1.3

On a $4.99 ebook, direct stores pay $3.49. KDP pays $3.28 after a $0.30 delivery fee. Aggregators trade $0.35 to $0.52 per unit for one-upload reach, which is a classic take-rate versus convenience trade-off.

Prices, fees and rates as of October 11, 2026. Sources: ScribeCount platform comparison; Profitable.app KDP royalty calculator; PublishDrive vs Draft2Digital (Apr 2026); IngramSpark Agreement (Lightning Source)

RISK

Sensitivity analysis: price is the biggest lever



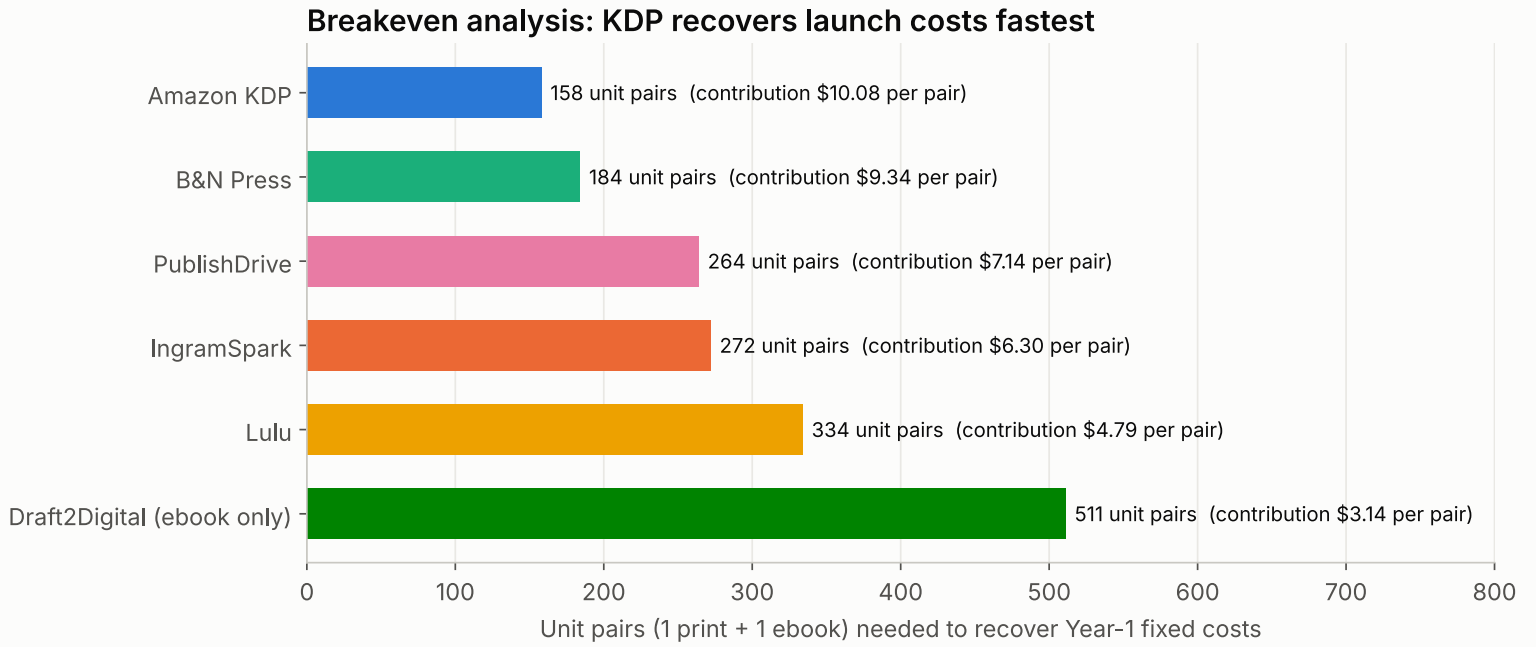
Data as of October 11, 2026. Source: Model in this repository; each input flexed ±20% with all others held at base

Flexing each input by 20% shows that list price moves KDP's net royalty by $4.08 per unit, four times the effect of page count. On IngramSpark, the wholesale discount is the largest controllable lever, which makes discount terms the first thing to test.

Prices, fees and rates as of October 11, 2026. Sources: Profitable.app KDP royalty calculator; IngramSpark Help Center: 2026 pricing changes

BREAKEVEN ANALYSIS

How many sales recover the launch investment?



Data as of October 11, 2026. Source: Model in this repository; fixed costs = platform one-time fees + $85 copyright registration + $1,500 illustrative launch budget + subscriptions

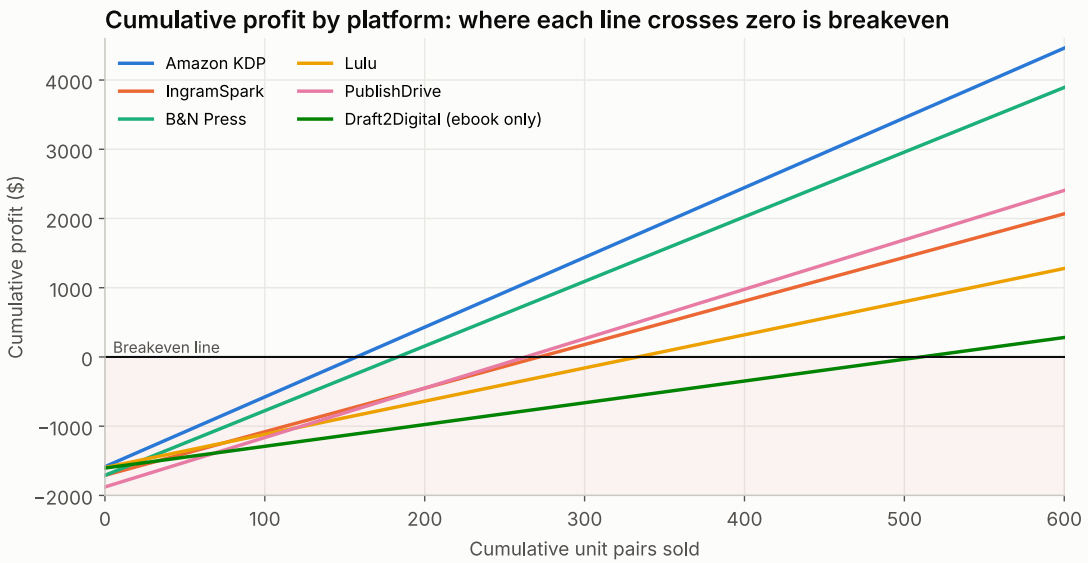
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Breakeven units = Year-1 fixed costs ÷ contribution per unit pair   |   Fixed costs = platform fees + $85 copyright registration + $1,500 illustrative launch budget + subscriptions
```

KDP needs 158 unit pairs and IngramSpark 272. Without the illustrative launch budget, platform-only fixed costs are recovered within 0 to 42 pairs, so the real breakeven risk sits in production spend, not platform fees. Stakeholders should replace the $1,500 placeholder with their own budget in the Excel model.

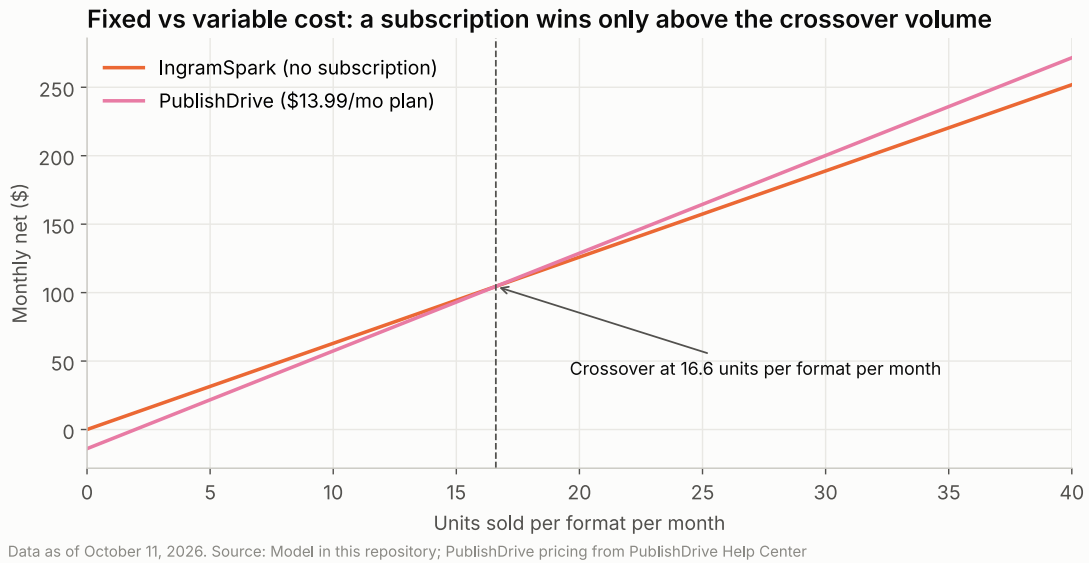
Prices, fees and rates as of October 11, 2026. Sources: Hypebot on the 2026 USCO fee schedule; ScribeCount: How to publish on IngramSpark; PublishDrive Help: pricing plans

BREAKEVEN ANALYSIS

Breakeven curves and the subscription crossover



Data as of October 11, 2026. Source: Model in this repository



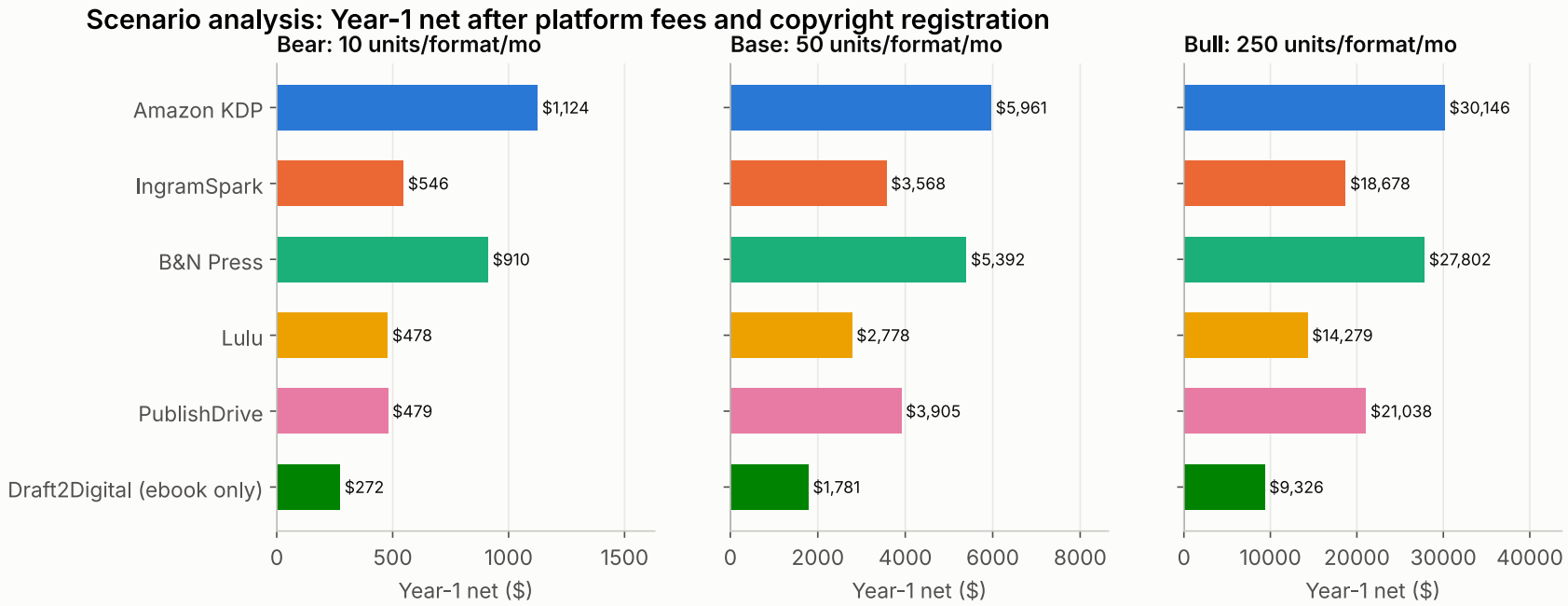
Data as of October 11, 2026. Source: Model in this repository; PublishDrive pricing from PublishDrive Help Center

Left: each line crosses zero at its breakeven point, and steeper slopes mean higher contribution margin. Right: PublishDrive's fixed fee overtakes IngramSpark's variable fees at 16.6 units per format per month, and overtakes Draft2Digital for ebooks at 40.1 units per month.

Prices, fees and rates as of October 11, 2026. Sources: PublishDrive Help: pricing plans; IngramSpark Help Center: 2026 pricing changes; PublishDrive vs Draft2Digital (Apr 2026)

SCENARIO PLANNING

Bear, base and bull volumes change the ranking very little



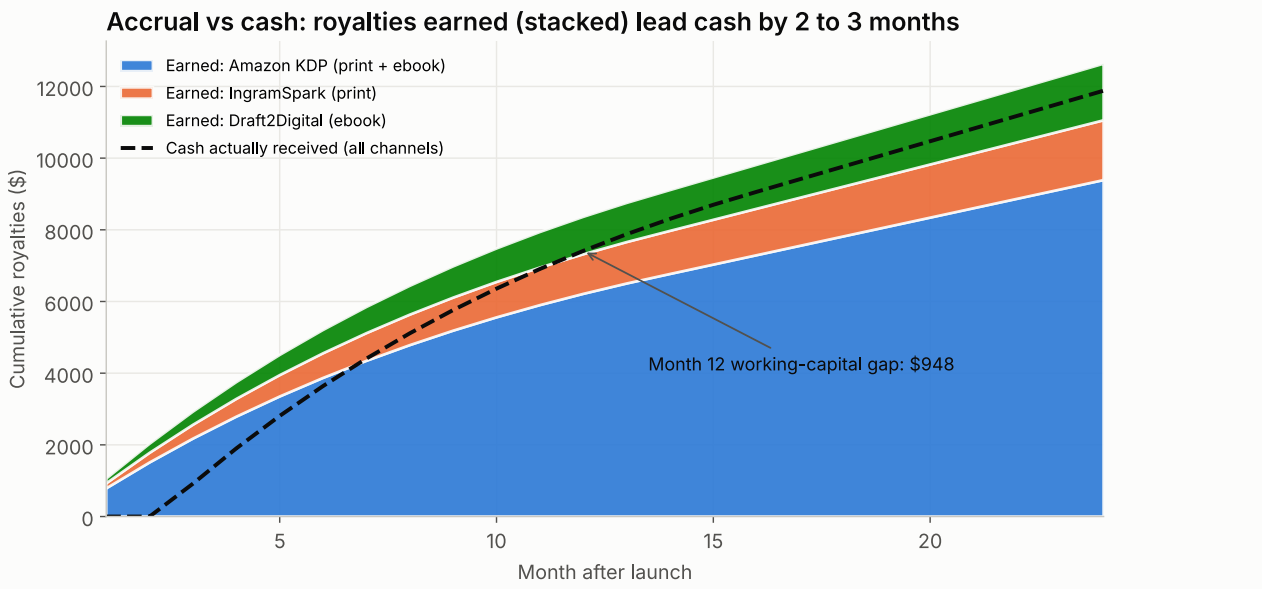
Data as of October 11, 2026. Source: Model in this repository; volumes are planning scenarios, not forecasts

KDP leads in every scenario, followed by B&N Press. PublishDrive moves ahead of IngramSpark once volume clears the crossover, which happens in the base and bull cases. These are planning scenarios, not forecasts; reach differs by channel, so equal volume per platform is a simplifying assumption.

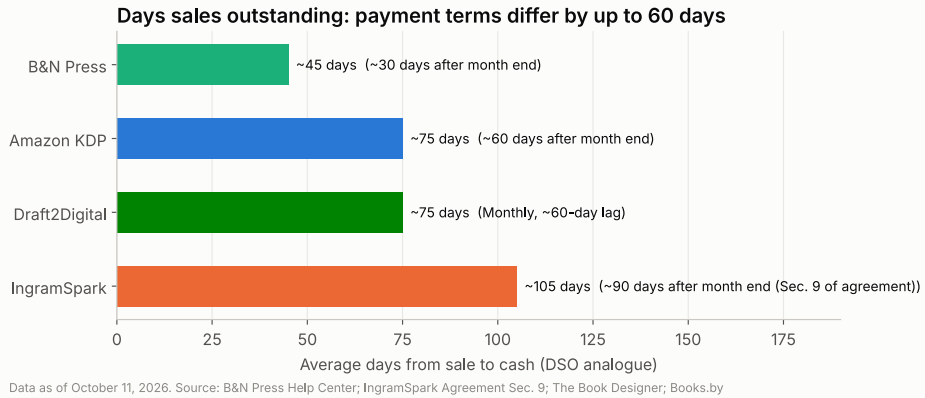
Prices, fees and rates as of October 11, 2026. Sources: Profitable.app KDP royalty calculator; B&N Press Help Center: Getting paid; PublishDrive Help: pricing plans

WORKING CAPITAL

Accrual vs cash: royalties earned lead cash by two to three months



Data as of October 11, 2026. Source: Model in this repository; launch curve and 65/35 channel mix are illustrative; Amazon share informed by Written Word Media 2025 survey



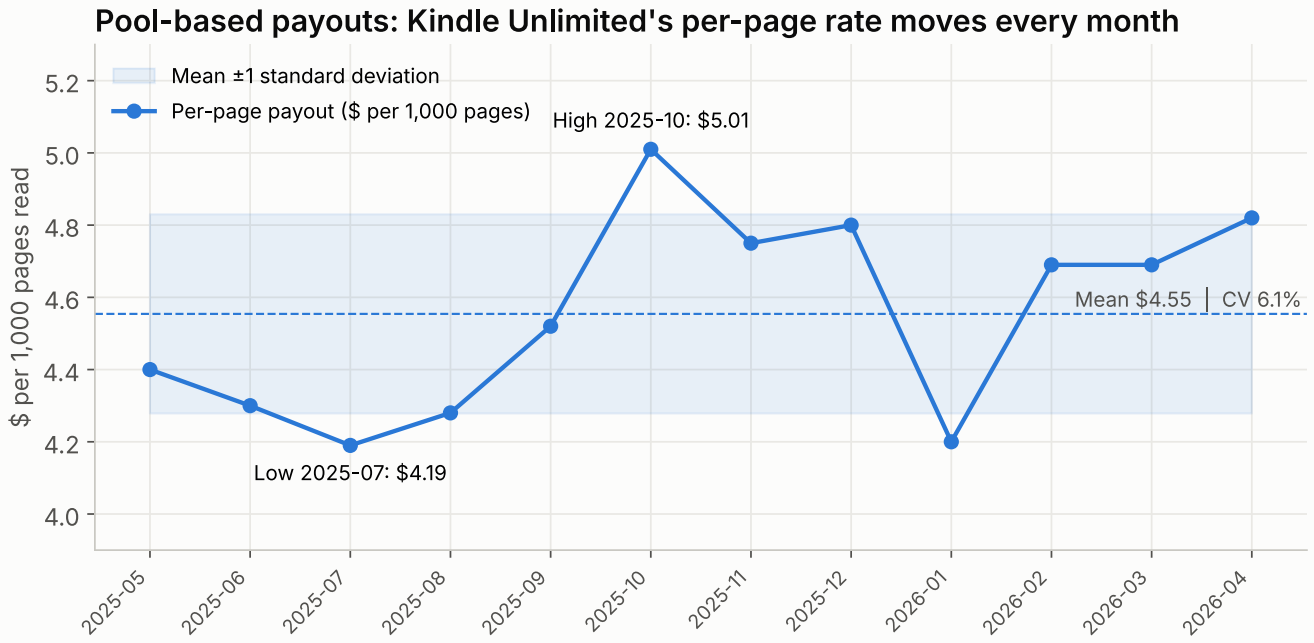
Data as of October 11, 2026. Source: B&N Press Help Center; IngramSpark Agreement Sec. 9; The Book Designer; Books.by

In an illustrative hybrid stack (KDP plus IngramSpark plus Draft2Digital), $948 of earned royalties is still uncollected at month 12. IngramSpark's terms add about 60 days of DSO versus B&N Press, and the agreement also lets it hold payments while a retailer has not paid (counterparty risk).

Prices, fees and rates as of October 11, 2026. Sources: B&N Press Help Center: Getting paid; IngramSpark Agreement (Lightning Source); The Book Designer: B&N Press review; Books.by: Draft2Digital comparison; Written Word Media 2025 Indie Author Survey

VARIABLE REVENUE

Pool-based payouts add volatility to exclusive ebook income



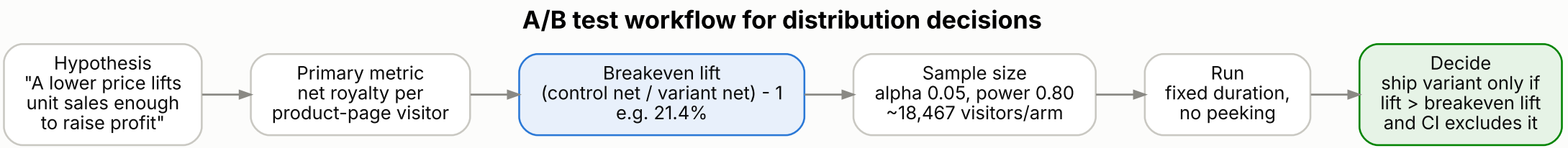
Data as of October 11, 2026. Source: Profitable.app KENP tracker (author-reported), May 2025 to April 2026

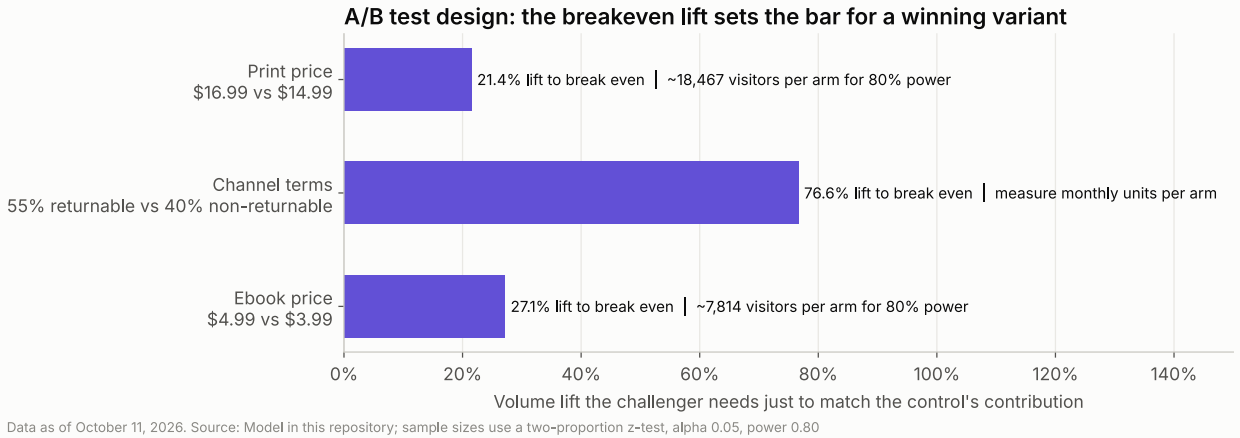
Kindle Unlimited pays from a monthly pool divided by pages read, the same pro-rata mechanism used by music streaming services. Over the last 12 reported months the rate averaged $4.55 per 1,000 pages with a 6.1% coefficient of variation, swinging from $4.19 to $5.01. In the 2025 Written Word Media survey, 38% of authors kept every book in KDP Select and 30% were fully wide.

Prices, fees and rates as of October 11, 2026. Sources: Profitable.app KENP rate tracker; Written Word Media 2025 Indie Author Survey

EXPERIMENTATION

A/B test design: know the breakeven lift before you test



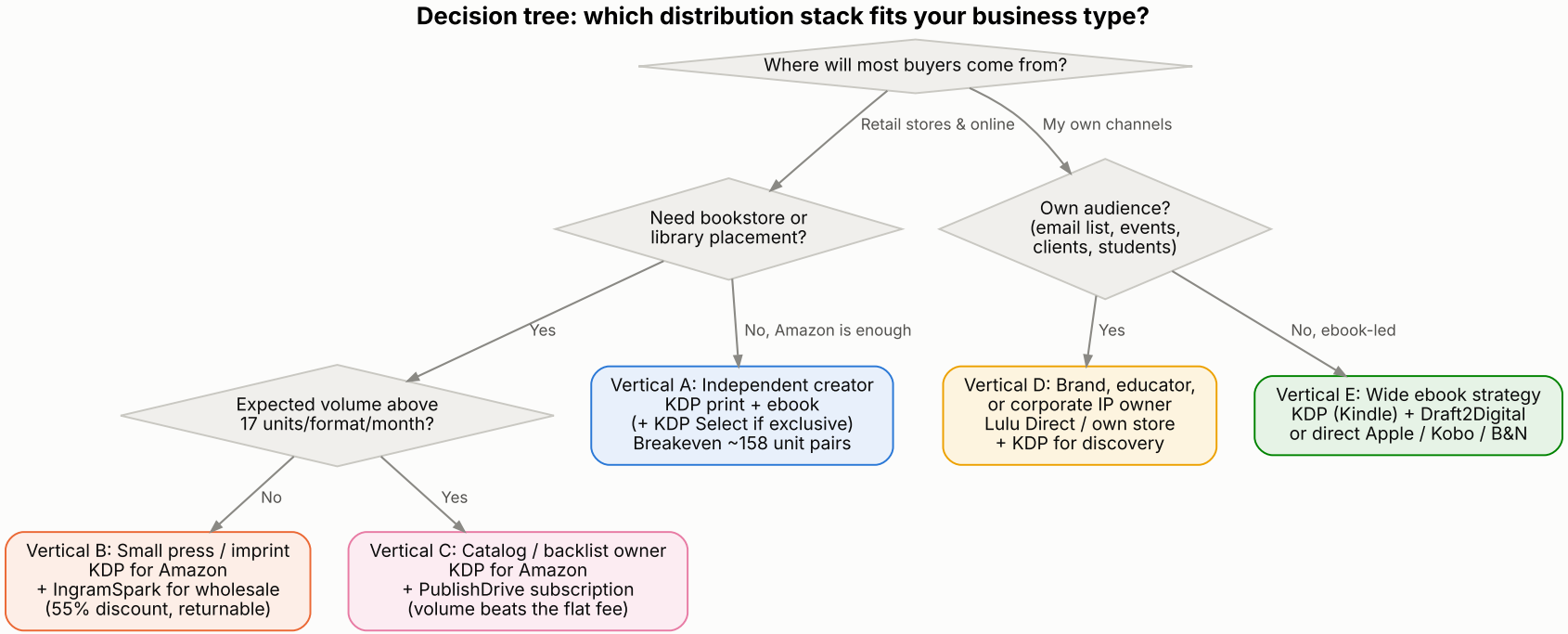


A price cut must lift unit sales by more than its breakeven lift to raise profit: 21.4% for a $16.99 to $14.99 print test and 27.1% for a $4.99 to $3.99 ebook test. Detecting a lift that size at a 2% baseline conversion takes about 18,467 visitors per arm. Retail platforms do not split traffic, so run time-boxed sequential tests or route paid traffic to two purchase links (for example, IngramSpark Share & Sell links).

Prices, fees and rates as of October 11, 2026. Sources: Profitable.app KDP royalty calculator; IngramSpark Agreement (Lightning Source)

DECISION TREE

Which distribution stack fits your business type?

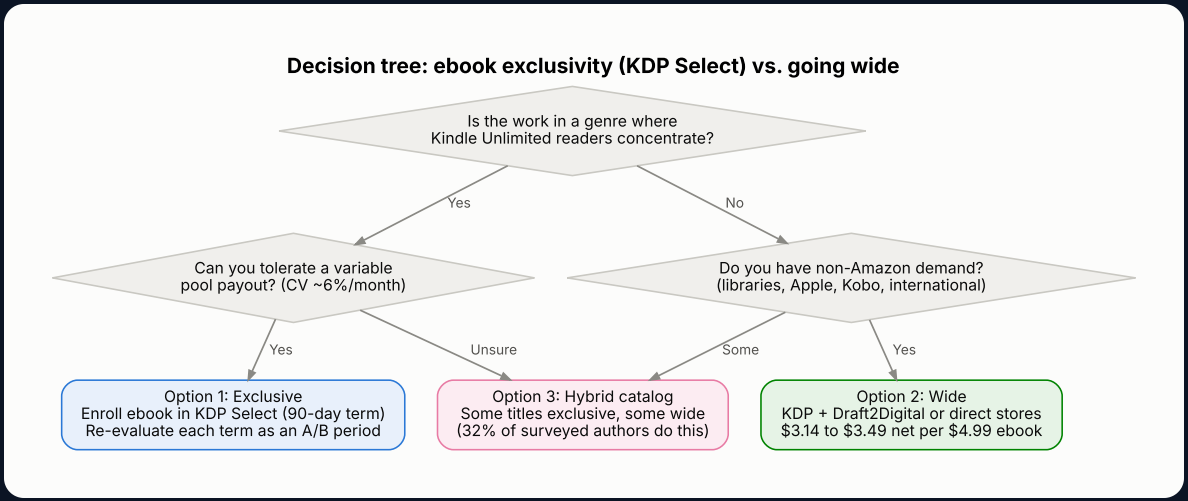


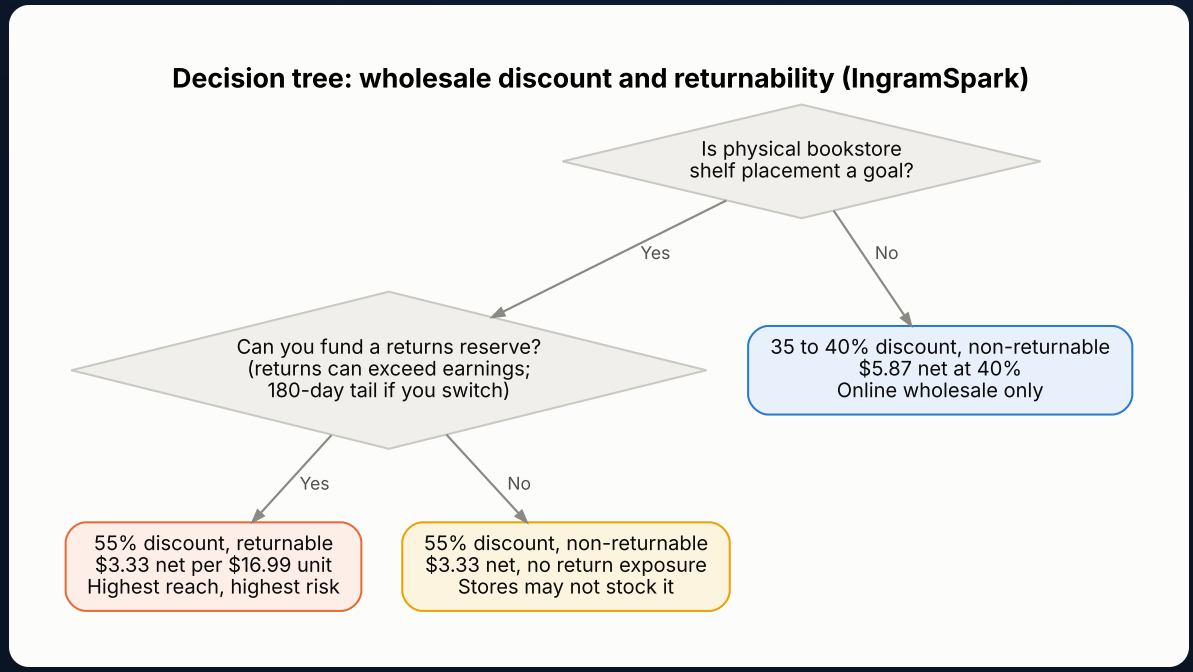
The thresholds come from the model: a 16.6-unit monthly crossover separates Vertical B from Vertical C, and owned-audience businesses (Vertical D) keep the most margin by selling direct, where Lulu Direct takes no revenue share.

Prices, fees and rates as of October 11, 2026. Sources: PublishDrive Help: pricing plans; Chapter: Lulu pricing (Sep 2026)

DECISION TREES

Two follow-on decisions: exclusivity and returns





Exclusivity trades reach for pool income; returnability trades margin and return risk for shelf placement. Both are reversible on known terms (90-day KDP Select periods; a 180-day return tail on IngramSpark), so both are good candidates for time-boxed tests.

Prices, fees and rates as of October 11, 2026. Sources: Written Word Media 2025 Indie Author Survey; IngramSpark Agreement (Lightning Source)

CHOICE OPTIONS

Three options per vertical, from lowest risk to widest reach

	Vertical	Option 1: Recommended	Option 2: Alternative	Option 3: Stretch	Breakeven marker
A	**Independent creator**	KDP print + ebook	KDP + Draft2Digital (wide ebook)	KDP + KDP Select	158 pairs
B	**Small press or imprint**	KDP + IngramSpark 55% returnable	KDP + IngramSpark 40% non-returnable	KDP + B&N Press + IngramSpark	272 pairs (IngramSpark)
C	**Catalog or backlist owner**	KDP + PublishDrive	KDP + IngramSpark + Draft2Digital	PublishDrive only	264 pairs; crossover 16.6/mo
D	**Brand, educator or corporate**	Lulu Direct on own site + KDP	IngramSpark Share & Sell links	Lulu Bookstore + KDP	Driven by owned traffic
E	**Wide ebook strategist**	KDP + direct Apple, Kobo, B&N	KDP + Draft2Digital	KDP + PublishDrive (above 40/mo)	Ebook-only economics

Option 1 maximizes contribution per unit for each business type. Option 2 changes one variable and doubles as the B arm of an A/B test. Option 3 adds reach once volume supports it.

RISK REGISTER

Contract terms that change the economics

Risk	What the agreement says	Rating	Mitigation	Reference
Returns liability	Returnable titles bill returns back to the IP owner; a 180-day tail applies after switching to non-returnable	High	Start non-returnable; test returnability later	Sec. 5.4.5
Payment timing and offsets	Compensation paid ~90 days after month end; can be held or offset for returns and other Ingram accounts	Medium	Plan cash with DSO assumptions; keep a reserve	Sec. 8.5, 9
Counterparty non-payment	IP owner bears its share if a retailer never pays	Low to medium	Monitor statements; reconcile monthly	Sec. 8.3
Unilateral changes	Terms and pricing can change; compensation changes take effect after 30 days	Medium	Review notices; re-run the model on each change	Sec. 2
Early release	Enabling distribution lets orders ship before the publication date	Medium	Enable distribution only at launch	Sec. 5.1.2
Liability cap	Platform liability capped at $500; broad indemnity owed by the IP owner	Low frequency, high impact	Confirm rights and clearances before upload	Sec. 12, 13

Section references are to the IngramSpark Agreement (last updated March 20, 2025). This is a plain-language business summary, not legal advice.

Prices, fees and rates as of October 11, 2026. Sources: IngramSpark Agreement (Lightning Source)

RECOMMENDATION

Decision request: a two-channel launch with a 90-day test window

1. Launch

List print and ebook on KDP for every vertical. Add one wide route chosen from the decision tree. Keep print non-returnable at launch and enable distribution only on the release date.

2. Test

Run one A/B test per 90 days: price first, then channel terms. Pre-register the metric (net royalty per visitor) and the breakeven lift, and stop only at the planned sample size.

3. Review

Hold a monthly variance review (budget vs actual by driver) and a quarterly re-forecast. Revisit exclusivity and subscriptions when volume crosses 16.6 units per format per month.

Success measures: breakeven reached within the planned unit count; contribution per unit within 5% of plan; cash received within the modeled DSO; one decision-grade A/B result per quarter.

METHODOLOGY

How the numbers were built

Model

- One Python model (analysis/model.py) writes every dataset in /data; the deck, Excel workbook and Tableau story all read the same numbers.
- Base case: $16.99 paperback, 200 pages, $4.99 ebook (2 MB), equal unit volume per platform.
- Variance = platform net royalty minus KDP net royalty, decomposed into channel share, production and platform-fee drivers that sum exactly to the total.
- A/B sample sizes use a two-proportion z-test (alpha 0.05, power 0.80).

Assumptions to replace

- Print costs for IngramSpark ($4.00), B&N Press ($3.50) and Lulu ($5.00) are planning estimates.
- The $1,500 launch budget, the 65/35 channel mix and the launch-decay curve are illustrative.
- All prices, fees and rates are as of October 11, 2026. The dataset is refreshed every three months; the next refresh is scheduled for January 11, 2027.
- Status note: certain works referenced are in the initial stage of pre-publication copyright registration with the U.S. Copyright Office.

REFERENCE

Glossary of cross-industry analytics and FP&A terms

A/B test	A controlled comparison of two variants on one metric, run long enough to reach a pre-set sample size.
Breakeven point	Units at which cumulative contribution equals fixed costs.
Coefficient of variation (CV)	Standard deviation divided by mean; a unit-free measure of volatility.
Cost variance analysis	Explaining the difference between two cost outcomes by isolating each driver.
Gross-to-net (GTN)	The waterfall from list price to net revenue after discounts, fees and allowances.
Pool-based payout	Revenue paid from a fixed pool shared by usage, as in streaming royalties.
Scenario analysis	Comparing outcomes under bear, base and bull assumptions.
Working capital gap	Revenue earned but not yet collected in cash.
Breakeven lift	The minimum increase in volume a cheaper variant needs just to match the control's contribution.
Channel share / take rate	The portion of the sale price kept by the retailer or marketplace.
Contribution margin	Revenue per unit minus variable costs per unit; what each sale adds toward fixed costs.
Days sales outstanding (DSO)	Average days between a sale and the cash arriving.
Margin of safety	How far planned volume can fall before reaching breakeven.
Returns reserve	Cash or earnings held back to cover expected returns.
Sensitivity analysis	Flexing one input at a time to see which one moves the result most.

ATTRIBUTION

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